Admittedly, we had large inflows in 2010 and 2011, but there was no volatility in the exchange rate; it was gradually moving up on the strength of the inflows. Intervention under these circumstances, I believed, would not be consistent with our stated policy. I felt obliged to walk the talk.

Besides, intervention under these circumstances would also involve a moral hazard. As we were gradually opening up the external sector, it was important that all market participants, in particular the corporates, learnt to manage exchange rate risks. If the Reserve Bank were to step in every time the exchange rate moved, they would never learn to cope with exchange rate movements and would happily outsource their exchange rate risk management to the Reserve Bank. Exchange rate panics are never pretty, but their virtue is that they restore fear and humility to the market players.

My relative hands-off stance also arose from the view that intervention in the absence of any evident volatility would be interpreted by the market as targeting a specific exchange rate, notwithstanding assertions to the contrary by the Reserve Bank. Believing that they are insured against exchange rate losses, speculators will then make the rupee a one-way bet and we would become vulnerable to being gamed.

I must admit that on the policy spectrum, my bias was towards non-intervention; in other words, the weight of evidence had to be higher than normal for me to approve intervention in the forex market. My staff as well as senior officials in the government would sense this. All too often they would persuade me to act, and the argument would be that in times of volatility, exchange rates overshoot and intervention is important to correct the overshoot and bring the rupee back to its equilibrium level.

The logical next question then is: what is the equilibrium exchange rate? It is that level of the nominal exchange rate which corresponds to a neutral real effective exchange rate (REER = 100). I did not find this argument persuasive. First, it is difficult to detect overshoot in real time. Second, the neutral real effective exchange rate has never been an anchor for the nominal rate. In other words, when the rupee had been relatively stable, the nominal exchange rate did not correspond to the neutral real exchange rate. Also, if indeed there was an overshoot of the exchange rate, it would correct